

IS 1110 Business Foundation

Business Models

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Subtopic Coverage

- 1.1 What is a business model
Value Proposition
- 1.2 Types of business models
- 1.3 Evaluation of business models
- 1.4 Types of businesses

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They do it in their own ways

They are into same nature of business:
Supermarket logic/model

But clear different ways of operating.
"on your way home": Emphasis on locations
Daily needs, at an affordable price

Selective items, careful design, freshly prepared



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What is a Business Model?

The term Business model is always misunderstood with business strategy.

A strategy for the business explains how you run it in comparison to your competitors (It is about winning in the game)

The concepts are clearly two different, but bounded by each other for a success of a business

A business model describes how a business basically runs.

It is all about how a business makes money

A business model can guide a business to make something different or to sell different

To be successful, a clearly defined/identified model and a strategy aligned to it must be there

It is something like "STYLE" of the business: the way of doing business

Business model dictates the business strategy

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What is a Business Model?

Business model dictates the business strategy

Components of a Business Model
How does a business;
➤ Create value
➤ Deliver value
➤ Harness value

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A Business Model

A company's plan for how it generates revenues and makes profits

A business model explains what products or services the business plans to produce and market, and how it plans to do so, including what expenses it will incur

A business' understanding on business value proposition will assist to come up with a good business model

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A Value Proposition

A value proposition is a straightforward statement of **what a company offers** in the form of goods or services that is **of value** to potential customers or clients, ideally in a way that **differentiates** the company from its competitors.



Source: Harvard i-lab; Michael Skok

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Business Value Proposition

Defining Business Value Proposition:

Define your business idea by answering to;

1. Value proposition is for (target customers):
2. Who are dissatisfied with (the current alternative):
3. Our product/service is (new one):
4. That provides (key problem-solving capability):
5. Unlink (the product alternative) (remember this is **not the competitors/current alternative**):

Example:

1. target customers: SMEs
2. the current alternative : who use open source/hired/commercially produced security systems with **constant modifications being done**
3. new one: an **in-built** security system/XYZ system (name)
4. key problem-solving capability: unique **tailor made** system security
5. the product alternative: outsourced services/DIY

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Business Value Proposition

Step 01:

Define the problem/need/pain/the challenge to be addressed



Not all problems are worth to start a business (hidden, fancy, impossible, etc)

A problem qualifies to generate a business

1. unworkable (must solve)
2. unavoidable
3. urgent
4. underserved

	Aspirational	Critical
Blatant (so obvious)		High computing power: the easiest way to start a business
Latent (manifested/hidden) Until i phone was produced, no one needed it	i-phone Hard to be here (1% of business ideas will fit here)	

Latent needs:

Most of the time, if you ask what do you want; people will mention about their dreams: **a car, a luxury car, a comfortable house, etc. These are very black and white.**

But there are **latent/hidden needs/dreams of people** they are not/cannot be expressive about those needs/do not see them as critical needs.

Ex: iphone, until it came no one wanted it. So, this might have been a latent need. No one told, I have a pain that need to be addressed soon through a smart phone.

Latent (hidden) can become blatant(obvious) when new businesses emerge.

Ex: until a **camera is built in a phone**, people's need for a high-resolution phone camera was a latent.

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Business Value Proposition

Step 01:

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1. **unworkable**
2. unavoidable
3. urgent
4. underserved

	Aspirational	Critical
Blatant (obvious)		unworkable a mission critical issue to be solved: A broken business process that creates significant consequences for customer Ex: 1. Sales people not bringing accurate information to make right price decisions: incorrect pricing--> losing customers 2. Inefficient customer complaint handling procedure--> losing customers
Latent (manifested/hidden)		

Business Value Proposition

Step 01:

Define the problem/need/pain/the challenge to be addressed



Not all problems a business is going solve.

A problem qualifies to generate a business

1. unworkable
2. **unavoidable**
3. urgent
4. underserved

	Aspirational	Critical
Blatant (obvious)		unavoidable Account for business Regulations Example: automated accounting systems with profit calculations by adjusting ForEx (for a company operating in few countries) Automated regulation monitoring/adherence system: outsourcing businesses
Latent (manifested/hidden)		

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Business Value Proposition

Step 01:
Define the problem/need/pain/the challenge to be addressed



Not all problems a business is going solve.
A problem qualifies to generate a business

1. unworkable
2. unavoidable
3. **urgent**
4. underserved

	Aspirational	Critical
Blatant (obvious)		Urgent Relative to other needs of the customer/client Should capture priorities of customers (resource allocation may indicate it)
Latent (manifested/hidden)		

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Business Value Proposition

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A problem qualifies to generate a business

1. unworkable
2. unavoidable
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4. **underserved**

	Aspirational	Critical
Blatant (obvious)		underserved The business is then starting from may be zero The business proves the customers that the idea will make your life easy/save money/bring profits/draw attention, etc. Ex: Social needs: find, connect, communicate, meet, share, entertain, date
Latent (manifested/hidden)		

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What is your compelling breakthrough as a business?

Your solution can be either;

- Discontinuous innovation
- Disruptive business model
- Defensible technology

1. Discontinuous innovation:
It is more than promising a solution to facilitate speed, convenience, cost saving
Here lot of competitors, alternatives. But if it is discontinuous innovation, it is totally different; you invent something to the problem to be solved
Ex: Entertainment: TV series discontinued and innovated to Reality Shows

2. Disruptive business model
Ex: Advertisement based : Google search engine : captured the "who search" market rapidly
Anyone using Yahoo accounts, reading Yahoo news?

Solution

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What is your compelling breakthrough as a business?

Your solution can be either;

- Discontinuous innovation
- Disruptive business model
- Defensible technology

3. Defensible technology
Faster, cheaper, better **are not** defensible technology/not enough to be a WOW business idea
Instead: **uniquely able to solve the problem** in a way nobody can find a solution without starting it altogether from the beginning
Ex: facilitating for networking/networking effect
Data collection (data on connections/preferences): your business idea/proposed technology makes it possible to collect data if otherwise not possible
Idea itself is to help for a business model : ex : advertisement based business model: your business idea is to facilitate adds being placed/accepted wisely

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Calculating Gain- Pain Ratio:
The gain delivered to the customer vs the pain and cost for the customer to adopt



Gain	Pain
Let customer increase revenue	Find, try (how long it takes, what will cost them in trying my solution)
Cost savings, time savings	Buy (Ex: London fashion week)
People (less people involved)	Implement, deploy (does the customer need to change something already there to use my solution (switching cost)
Increase competitive advantage, Increase reputation (reduced customer response time)	Own (how long will it take to own the solution fully by the customer)

Step 02: Evaluating

"IF CAN NOT MEASURE, YOU CAN NOT MANAGE IT"

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Calculating Gain- Pain Ratio:
The gain delivered to the customer vs the pain and cost for the customer to adopt




For Startup Companies, This Ratio May Be Not Favorable: that is why for a startup company, it takes lot of time to secure the **first business deal/sale**

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Step 03: Build

Think through all the steps and build your business values proposition

A value proposition is a straightforward statement of what a company offers in the form of goods or services that is of value to potential customers or clients, ideally in a way that differentiates the company from its competitors.



Augmented Reality is less utilized for its business opportunity: given this online operations, AR can be used widely to transform our experiences regardless of the boundaries we have.

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Decide on a Business Model

Why a Business Model Matters?

What is your business model? "Think it later, let's start the business"

1. A business model is the key that **guides** a business's profitability, format, price models, etc.

Thus, deciding on the proper business models is the **first in forming a business**

Ex: An online magazine:

How the business is going to make money: through subscriptions or advertisement based?

If decided for advertisement based: space should be provided for advertisements, advertisements categories, their placements in the magazine etc.

Key business model decisions to be taken:

Startup: it is all about deciding what is the model

Established company: successfully evolve/migrate/adapt the existing model

Ex: license based to subscription-based business model by a software company

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Decide on a Business Model

Why a Business Model Matters?

Business model itself can serve as a competitive advantage

2. Sometimes the business model itself can be a disruptive innovation

Ex:

➤ Software companies' move to SaaS model (software as a service): "pay as you go" – the **existing product/service but the model shifted**

➤ Bitcoin made banks to transform to blockchain technology

➤ Uber: transformed traditional taxi service

➤ Online learning platforms: Coursera,

➤ But: Coursera vs Skillshare (free vs premium price)

➤ In Sri Lanka: DP education, insurance companies, Laundromart

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Decide on a Business Model

Why a Business Model Matters?

3. The business model decides your capital requirements:

The **business model speaks to investors** (investors are keen to know the business model before investing in your business)

Long term or short term

Some business models are smart enough to generate its own working capital from its inception

Extra Tip:

When evaluating a company as a possible investment, investigate exactly **how it makes its money**. Then think about how attractive and profitable that business model is. Admittedly, the business model doesn't tell you everything about a company's prospects, but investors with a business model frame of mind can make better sense of the financial data and business information.

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1. Focused: Domestic – No Immigration Related Costs
2. Back and forth flights (smaller routes)
3. Limited upload time

SOME BUSINESS MODELS WORK FOREVER
SOUTHWEST AIRLINES: A DISRUPTOR FOR A LONGER PERIOD
1967- TODATE - CONTINUOUSLY

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A Business Model

A business model includes:

1. Functions and components of the business
2. Revenues and expenses generation

A business model lays out a step-by-step plan of action for profitably operating a business in a specific marketplace

Even if two businesses operate within the **same industry**, they likely have **different competitive advantages** and disadvantages and, therefore, need **different business models**.

Successful businesses have developed business models that enable them to fulfill client needs at a competitive price and sustainable cost.

Over time, circumstances change, and many **businesses revise their business models frequently** to reflect changing business environments and market demands (A reality checking and ToB is evolving)

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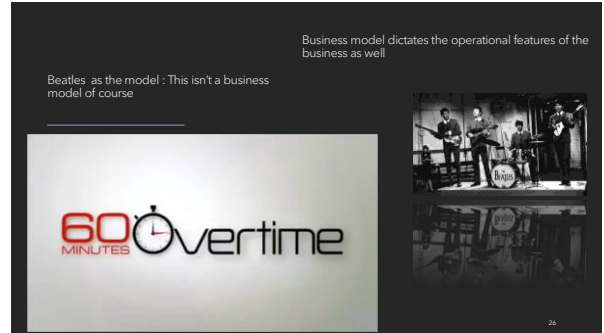
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A Business Model

A business model can be tightened to/visible from;

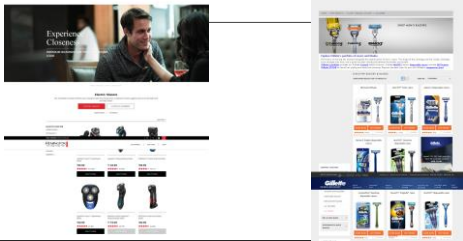
1. Target customers
2. Customer relationships
3. Cost structures
4. Pricing strategies/models
5. Business organizational operations/internal arrangements/key activities
6. Locations/distribution channels
7. Key partners/partnerships
8. Key resources utilized/capitalized on

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Same industry; different business models Remington vs Gillette: Up front vs Refill sales



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In-class Activity

1. What is a business model?
2. Suggest businesses/industries that Bricks-and-Clicks business model suits best.
3. List down some real-world examples for businesses that are operating on advertisement based-model (both traditional and internet based).
4. **A business model needs to be identified based on its value proposition. Thus, understanding on value proposition is essential. What is meant by "value proposition" of a business?**
5. "Companies operating in the same industry may use different business models". Do you agree? Provide some examples.
6. What do you know about "razor and blades business model/Razor-Razorblade Model"? Provide some examples.
7. **A business model needs not to be one-off selection. Using examples, explain what influence a business to change its business model. (The selection of the business model depends on several factors. Describe few of them.)**
8. **Explain how the understanding on business models helps an investor to make correct investment decisions.**
9. What is a franchise? Identify few examples from **several industries**.
10. Is it always a wise decision to buy a franchise? When is a franchise best suited? Explain conditions/situations and challenges.
11. What business model would suit for a **software company**? **Provide your justifications.**

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Few Traditional Business Models are;

1. Direct Sales
2. Traditional Advertising based (magazines, news papers)
3. Franchising

New business models emerged as a result of internet

Ex: 1. Bricks and clicks

2. Internet advertising-based businesses

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Franchise

Operational features

When to use

- + Airline Industry- Business models
- + Razor-Razorblade Model
- + Google Business Model Explained
- + Franchise - all explained
- + Is Buying a Franchise Wise
- + Which model to select?
- + Additional Reading: Types of Business Organizations

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Bricks-and-Clicks Business Model

A business that combines physical presence and online presence (physical retail location -- the bricks -- and an online presence that generates significant sales -- the clicks)

The model combines many advantages of having a physical store that customers can visit while selling products and services via web

However, the model bears drawbacks of each business strategy: brick and click

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Bricks-and-Clicks Business Model

Branding:

Can make use advantage of long term physical presence to leverage online marketing, whereas "dot com" companies need to start from beginning as no chance to meet customers

Supplier network

Improvements in supplier networks: Internet offers access to wider range of suppliers (order new products and equipment, competitive pricing)

However, established offline businesses will leverage existing relationships with suppliers through years of trust, receive discounts, etc.

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Bricks-and-Clicks Business Model

Distribution

Distribution can widen from local community to globe (place online and ship)

By maintaining physical stores, prospective customers can still come and inspect before purchasing

Costs

High overhead costs than pure dot-coms and traditional brick and mortar businesses

Need to maintain physical space and internet presence

Dot-coms companies have no pay for physical establishments

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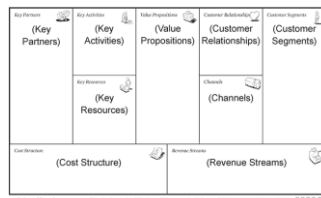
Advertisement-based Business Model

Company provides free services by providing space for advertisements from whom the company earns

This is the modern variation of early version of print journals and advertisement

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Business Model Canvas

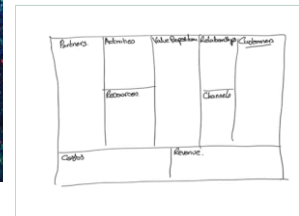
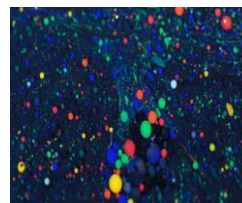


Something
EXTRA

If you are interested.....

Proposed by Alexander Osterwalder
Early version: Business model ontology

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How Google does it: Google business model explained

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Other Business Models

Freemium Model

Subscription Model

- **Freemium pricing.** This is a broad term for a business model that captures users with a free tier, before implementing a cost in the future.
- **Premium pricing.** From the outset, you pay for the product in question. As such, there's no ambiguity about what pricing model your customers are using.

Freemium Model

For companies that offer personal or business services via the internet, the freemium business model is common

A business gives away a service at no cost to the consumer as a way to establish the foundation for future transactions

By offering basic-level services for free, companies build relationships with customers eventually offering them advanced services, add-ons, or an ad-free user experience for an extra cost

Works well for Internet-based businesses with small customer acquisition costs but high lifetime value

Ex: premium packages



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Subscription Model

► Objective is to retain customers under a long-term contract and secure recurring revenue from repeat purchases

► Online subscription business models usually require customer to sign up for automatic payment plans

► Businesses that operate in an industry with high customer acquisition costs may opt for a subscription or recurring revenue business model

► They may charge a cancellation fee for a contract that ends before the preset time frame

Ex: Credit monitoring organizations: Experian

Utility and telecommunication companies, TV



Business models don't work:

"It's because the story doesn't make sense and/or the numbers just don't add up to profits" – Harvard Business Review

Ex: U.S. Automakers

- In 2003, to compete against foreign manufacturers, Ford, Chrysler and General Motors offered customers deep discounts and interest-free financing
- Sold vehicles for less than its manufacturing cost
- It squeezed all the profits out of Ford's U.S. operations, threatened Chrysler and GM to follow
- To remain practicable, companies had to restore their business models

Business Model Assessment

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Our business model

Make money today and fulfil your dreams tomorrow

Oriflame advertisement showing a woman smiling and holding a product, with text 'Our business model' and 'Make money today and fulfil your dreams tomorrow'.

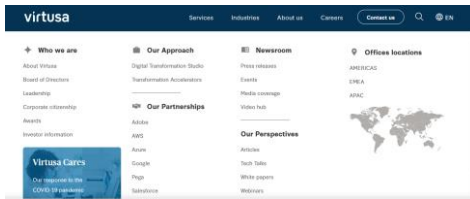
What is so special about their model?

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How do they differ?

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Virtusa

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Software Industry

	Type of Products/Services offered			
	Financial	Physical	Intangible	Human
Creator	Entrepreneur	Manufacturer	Inventor	n/a
Distributor	Financial trader	Wholesaler, Retailer	IP distributor	n/a
Lessor	Financial lessor	Physical lessor	IP lessor	Contract
Broker	Financial broker	Physical broker	IP broker	HR broker

Your
industry

Source:

1. <https://www.dirkarlpopp.com/businessmodelsinthesoftwareindustry>
2. <https://www.altsoft.com/blog/business/software-business-models-examples-revenue-streams-and-characteristics-for-products-services-and-platforms/>

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Additional Knowledge

Acknowledgements

Investopedia

Harvard Business Review

Fisher College of Business- Ohio State University

Types of Businesses

<https://www.youtube.com/watch?v=nZndv4HLVlg>

<https://www.youtube.com/watch?v=nZndv4HLVlg&list=RDLVnZndv4HLVlg&index=1>

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